



## [Weekly Market Commentary](#)

### Dear clients,

Markets have somewhat recovered following the events last weekend and into Monday (August 5). But uncertainty continues to cloud investor sentiment, as the macro dominance of crypto price action persists, particularly given a lack of new idiosyncratic catalysts for crypto this month. Consequently, we think macroeconomic headlines like next week's US inflation print on August 14 will likely take on additional scrutiny given this week's market developments.

Meanwhile, the sharp price move downwards on Sunday evening (August 4 at 9pm ET or Asia market open) cleared a large amount of leverage out of the market with nearly \$1.1B in perp liquidations in the span of 24 hours. This has led to cleaner positioning, which could be a positive technical supply-demand set up for crypto, in our view, though that may be counterbalanced by constraints in liquidity. Stablecoin borrows in onchain markets have significantly declined. USDC borrowed on Ethereum Aave V3 fell by 20% from \$1.43B to \$1.14B between August 1 and 6, for example.

Finally, we released two major reports this week. We published [“Stablecoins and the New Payments Landscape”](#) which discusses how traditional payment giants operate in the current environment and the integration of stablecoins into existing systems. Also, check out our [2024 Allocator's Guide to Digital Asset Hedge Funds](#), which is designed to help institutional allocators and professional investors understand the basics of gaining exposure to the rapidly growing crypto asset class.

**Read full report**

Best,  
The Coinbase Institutional Team

### Weekly Market Call

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